

TOWN OF CORNWALL
Consolidated Financial Statements
March 31, 2023

TOWN OF CORNWALL
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March 31, 2023

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MANAGEMENT'S RESPONSIBILITY FOR FINANCIAL REPORTING

The accompanying consolidated financial statements of the Town of Cornwall are the responsibility of management and have been prepared in accordance with Canadian Accounting Standards for the Public Sector. A summary of the significant accounting policies are described in the consolidated financial statements. The preparation of consolidated financial statements necessarily involves the use of estimates based on management's judgment, particularly when transactions affecting the current period cannot be finalized with a certainty until future periods.

To meet its responsibility, management maintains a system of internal controls designed to provide reasonable assurance that assets are safeguarded, transactions are properly authorized and recorded in compliance with legislative and regulatory requirements, and reliable financial information is available on a timely basis for preparation of the consolidated financial statements. These systems are monitored and evaluated by management.

The council met with management and the external auditors to review the consolidated financial statements and discuss any significant financial reporting or internal control matters prior to their approval of the consolidated financial statements.

The consolidated financial statements have been audited by MRSB Chartered Professional Accountants Inc., independent external auditors appointed by the Town. The accompanying Independent Auditor's Report outlines their responsibilities, the scope of their examination and their opinion on the consolidated financial statements.

On behalf of the Town of Cornwall:



Chief Administrative Officer

INDEPENDENT AUDITOR'S REPORT

To the Mayor and Council of the Town of Cornwall

Opinion

We have audited the consolidated financial statements of the Town of Cornwall (the Town), which comprise the consolidated statement of financial position as at March 31, 2023, and the consolidated statements of operations, changes in net debt and cash flows for the year then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Town as at March 31, 2023, and the results of its operations and its cash flows for the year then ended in accordance with Canadian Accounting Standards for Public Sector.

Basis for Opinion

We conducted our audit in accordance with Canadian generally accepted auditing standards. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Town in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in Canada, and we have fulfilled our other ethical responsibilities in accordance with those requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with Canadian Accounting Standards for Public Sector, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Town's ability to continue as a going concern, disclosing, as applicable, matters relating to going concern and using the going concern basis of accounting unless management either intends to liquidate the Town or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Town's financial reporting process.

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Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Canadian generally accepted auditing standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements. As part of an audit in accordance with Canadian generally accepted auditing standards, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Town's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Town's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Town to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

MRSB Chartered Professional Accountants Inc.

MRSB CHARTERED PROFESSIONAL ACCOUNTANTS INC.

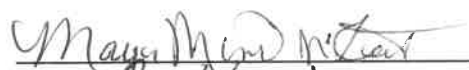
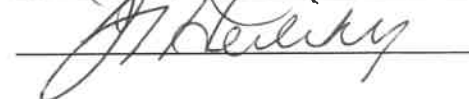
Charlottetown, PE

September 20, 2023

TOWN OF CORNWALL
Consolidated Statement of Financial Position
March 31, 2023

	2023	2022
Financial assets		
Cash and cash equivalents		
Cash	\$ 528,348	\$ 380,212
Restricted cash	937,460	1,698,973
Accounts receivable (Note 3)	1,208,996	818,532
Long term investments (Note 4)	147,972	126,413
	<u>2,822,776</u>	<u>3,024,130</u>
Liabilities		
Demand loans (Note 5)	1,991,800	1,350,000
Accounts payable and accrued liabilities	1,014,733	1,410,661
Deferred revenue (Note 6)	476,691	146,211
Retirement obligation (Note 7)	185,974	169,026
Long term debt (Note 8)	2,218,111	2,677,697
	<u>5,887,309</u>	<u>5,753,595</u>
Contingent liability (Note 9)		
Commitments (Note 10)		
Net debt (Statement 6)	<u>(3,064,533)</u>	<u>(2,729,465)</u>
Non-financial assets		
Prepaid expense	34,303	34,178
Intangible assets (Note 11)	83,297	107,368
Tangible capital assets (Schedule 1 and 2)	38,834,979	33,643,189
	<u>38,952,579</u>	<u>33,784,734</u>
Accumulated surplus (Statement 5)	<u>\$ 35,888,046</u>	<u>\$ 31,055,269</u>

ON BEHALF OF COUNCIL

 Mayor
 Councillor

Notes 1 - 18 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Consolidated Statement of Operations
Year Ended March 31, 2023

	Budget 2023	Actual 2023	Actual 2022
Revenues			
Town (Schedule 3)	\$ 4,152,266	\$ 4,676,293	\$ 4,047,249
Parks and Recreation (Schedule 5)	434,870	564,783	470,403
Water and Sewer (Schedule 6)	1,843,946	2,078,515	1,702,474
	<u>6,431,082</u>	<u>7,319,591</u>	<u>6,220,126</u>
Expenditures			
Town (Schedule 3)	2,978,764	3,491,126	2,919,060
Parks and Recreation (Schedule 5)	1,226,443	1,299,982	1,242,945
Water and Sewer (Schedule 6)	1,513,664	1,612,088	1,490,937
	<u>5,718,871</u>	<u>6,403,196</u>	<u>5,652,942</u>
Operating surplus	<u>712,211</u>	<u>916,395</u>	<u>567,184</u>
Other revenues			
Town (Schedule 3)	2,572,918	885,915	1,289,157
Water and Sewer (Schedule 6)	3,880,690	3,030,467	1,928,169
	<u>6,453,608</u>	<u>3,916,382</u>	<u>3,217,326</u>
Annual surplus	7,165,819	4,832,777	3,784,510
Accumulated surplus - beginning of year	31,055,269	31,055,269	27,270,759
Accumulated surplus - end of year (Note 13)	<u>\$ 38,221,088</u>	<u>\$ 35,888,046</u>	<u>\$ 31,055,269</u>

Notes 1 - 18 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Consolidated Statement of Changes in Net Debt
Year Ended March 31, 2023

	Budget 2023	Actual 2023	Actual 2022
Annual surplus	\$ 7,165,819	\$ 4,832,777	\$ 3,784,510
Amortization of intangible assets	-	29,394	24,837
Amortization of tangible capital assets	-	1,069,437	935,033
Purchase of intangible assets	-	(5,321)	(62,656)
Purchase of tangible capital assets	(9,520,359)	(6,261,227)	(4,173,117)
Decrease (increase) in prepaid expense	-	(128)	29,015
Gain on disposal of tangible capital assets	-	(7,425)	-
Proceeds on disposal of tangible capital assets	-	7,425	-
	<u>(9,520,359)</u>	<u>(5,167,845)</u>	<u>(3,246,888)</u>
Decrease (increase) in net financial debt	(2,354,540)	(335,068)	537,622
Net financial debt - beginning of year	(2,729,465)	(2,729,465)	(3,267,087)
Net financial debt - end of year	\$ (5,084,005)	\$ (3,064,533)	\$ (2,729,465)

Notes 1 - 18 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Consolidated Statement of Cash Flows
Year Ended March 31, 2023

	2023	2022
Cash flows from operating activities		
Annual surplus	\$ 4,832,777	\$ 3,784,510
Items not affecting cash:		
Amortization of intangible assets	29,394	24,837
Amortization of tangible assets	1,069,437	935,033
Gain on disposal of tangible capital assets	(7,425)	-
Income from government business enterprise	(21,558)	(14,603)
	<u>5,902,625</u>	<u>4,729,777</u>
Changes in non-cash working capital:		
Accounts receivable	(390,464)	(51,110)
Prepaid expense	(125)	29,015
Accounts payable and accrued liabilities	(395,931)	660,609
Deferred revenue	330,480	(552,085)
Retirement obligation	16,948	12,826
	<u>(439,092)</u>	<u>99,255</u>
	<u>5,463,533</u>	<u>4,829,032</u>
Cash flows from capital activities		
Purchase of property and equipment	(6,261,227)	(4,173,117)
Purchase of intangible assets	(5,321)	(62,656)
Proceeds on disposal of property and equipment	7,425	-
	<u>(6,259,123)</u>	<u>(4,235,773)</u>
Cash flows from financing activities		
Advances (repayment) of operating loans	641,800	1,050,000
Repayment of long term debt	(459,587)	(491,674)
	<u>182,213</u>	<u>558,326</u>
Cash flows from investing activities		
Purchase of shares in Charlottetown Area Development Corporation	-	(111,810)
Increase (decrease) in cash	<u>(613,377)</u>	<u>1,039,775</u>
Cash - beginning of year	<u>2,079,185</u>	<u>1,039,410</u>
Cash - end of year	<u>\$ 1,465,808</u>	<u>\$ 2,079,185</u>
Cash consists of:		
Cash	\$ 528,348	\$ 380,212
Restricted cash	<u>937,460</u>	<u>1,698,973</u>
	<u>\$ 1,465,808</u>	<u>\$ 2,079,185</u>

Notes 1 - 18 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Notes to Consolidated Financial Statements
Year Ended March 31, 2023

1. DESCRIPTION OF BUSINESS

The Town of Cornwall (the "Town") was incorporated under the Charlottetown Area Municipalities Act and continued under the Municipal Government Act. The Town is a non-profit organization under the Income Tax Act. The Town manages the municipal operations and also provides sewer and water services to its residents.

2. SIGNIFICANT ACCOUNTING POLICIES

Basis of presentation

These consolidated financial statements for the Town of Cornwall have been prepared by management in accordance with Canadian Accounting Standards for the Public Sector.

These consolidated financial statements are prepared using the accrual basis of accounting. The accrual basis of accounting records revenue as it is earned and measurable. Expenditures are recognized as they are incurred and measurable based upon receipt of goods or services and/or the legal obligation to pay.

Funds from external parties and earnings thereon restricted by agreement or legislation are accounted for as deferred revenue until used for the purpose specified.

Government transfers, contributions and other amounts are received from third parties pursuant to legislation, regulation or agreement and may only be used for certain programs and in the completion of specific work. In addition, certain user charges and fees are collected for which the related services have yet to be performed. Revenue is recognized in the year when the related expenditures are incurred, services are performed or the tangible capital assets are acquired.

Basis of consolidation

These consolidated financial statements for the Town of Cornwall reflect the assets, liabilities, revenues, expenditures, change in net debt and annual surplus of the Town. The Town is comprised of the municipal operations plus all of the organizations that are owned or controlled by the Town and are, therefore, accountable to the Town Council for the administration of their financial affairs and resources. Included with the municipality is the following:

Cornwall Water and Sewer Utility Corporation

A government business enterprise is a self-sustaining organization that has the financial and operating authority to sell goods and services to individuals and non-government organizations as its principal activity and source of revenue. Government business enterprises are accounted for on the modified equity basis. Their accounting principles are not adjusted to conform with those of the Town. The total net assets of all government business enterprises are reported as a separate item on the Consolidated Statement of Financial Position. The total net income from all government business enterprises is reported as a separate item on the Consolidated Statement of Operations. The Town's investment in government business enterprises include the following:

The Charlottetown Area Development Corporation (CADC)

Cash

Cash is comprised of cash on hand, unrestricted and restricted balances on deposit with banks and bank indebtedness.

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TOWN OF CORNWALL
Notes to Consolidated Financial Statements
Year Ended March 31, 2023

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

Accounts receivable

Accounts receivable arise from sewer and water levies, government funding, miscellaneous and Harmonized Sales Tax receivable. An allowance for bad debts has been calculated through discussions with management, assessment of the other circumstances influencing the collectibility of amounts, and using historical loss experience. Amounts deemed uncollectible are written off and deducted from the carrying value of the receivable. Amounts subsequently recovered from accounts previously written off are credited to the allowance account in the period of recovery.

Tangible capital assets

Tangible capital assets are recorded at cost which includes all amounts that are directly attributable to acquisition, construction, development or betterment of the asset. The cost, less residual value of the tangible capital assets, is amortized on a straight-line basis over the estimated useful life as follows:

Buildings	50 years
Sidewalks	30 years
Trails, parks and gardens	30 years
Pool	30 years
Sportsfields	20 years
Transit bus	10 years
Public works equipment	10 years
Recreation equipment	10 years
Town equipment	5 years
Vehicles and trailers	7 years
Sewer system	75 years
Water system	75 years
Meters	25 years
SCADA	20 years
Utility equipment	10 years
Vehicles and trailers	7 years
Office equipment	5 years

One-half of the annual rate is recorded in the year of acquisition; no amortization is recorded in the year of disposal.

Cornwall Water and Sewer Utility Corporation anticipates recovery of all of the costs related to the waterline installation on Osprey Avenue from Ferry Road to Primrose Drive from the developer. Cornwall Water and Sewer Utility Corporation estimates the recovery to be approximately \$97,147.

The anticipated recovery of these costs has not been reflected in the financial statements as the events giving rise to the recovery have not yet occurred.

Interest capitalization

Interest costs relating to major capital projects in progress are capitalized as part of tangible capital assets. Capitalization of interest ceases when the asset is substantially complete and ready for its intended productive use. During the year, \$63,792 (2022 - \$15,531) in interest was capitalized.

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TOWN OF CORNWALL
Notes to Consolidated Financial Statements
Year Ended March 31, 2023

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

Impairment of long lived assets

The Town tests for impairment whenever events or changes in circumstances indicate that the carrying amount of the assets may not be recoverable. Recoverability is assessed by comparing the carrying amount to the projected future net cash flows the long-lived assets are expected to generate through their direct use and eventual disposition. When a test for impairment indicates that the carrying amount of an asset is not recoverable, an impairment loss is recognized to the extent the carrying value exceeds its fair value.

Asset retirement obligations

Liabilities are recognized for statutory, contractual or legal obligations associated with the retirement of tangible capital assets when those obligations result from the acquisition, construction, development or normal operation of the assets. The obligations are measured initially at fair value, determined using present value methodology, and the resulting costs capitalized into the carrying amount of the related tangible capital asset. In subsequent periods, the liability is adjusted for accretion and any changes in the amount or timing of the underlying future cash flows. The capitalized asset retirement cost is amortized on the same basis as the related asset and accretion expense is included in the Consolidated Statement of Operations. As at March 31, 2023, no asset retirement obligations have been identified by management.

Intangible assets

The intangible assets consisting of official plan, utility rate study and electric transit plan are stated at cost are being amortized on a straight-line basis over their estimated useful lives of five years.

Non-Financial Assets

Non-financial assets are not available to discharge existing liabilities and are held for the use in the provision of services. They have useful lives extending beyond the current year and are not intended for sale in the normal course of operations. The change in non-financial assets during the year, together with the annual surplus, provides the consolidated change in net debt for the year.

Employee future benefits

Provision is made for benefits accruing to employees in respect of wages and salaries, retiring allowances, and defined contributions to employee benefit plans when it is probable that settlement will be required and they are capable of being measured reliably.

Government transfers

Government transfers are the transfer of assets from senior levels of government that are not the result of an exchange transaction, are not expected to be repaid in the future, or the result of a direct financial return.

Government transfers are recognized in the consolidated financial statements as revenue in the year in which events giving rise to the transfer occur, providing the transfers are authorized, any eligibility criteria have been met, and reasonable estimates on the amounts can be determined.

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TOWN OF CORNWALL
Notes to Consolidated Financial Statements
Year Ended March 31, 2023

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

Revenue recognition

The Town follows the deferral method of accounting for contributions and grants. Restricted contributions are recognized as revenue in the year in which the related expenditures are incurred. Unrestricted contributions are recognized as revenue when received or receivable if the amount to be received can be reasonably estimated and collection is reasonably assured.

Property tax billings are based on the assessed value of real property in the Town and are payable in each calendar year. Municipal tax rates are reviewed, established and approved annually by the Town council. These revenues are recognized monthly as amounts are received from Province of Prince Edward Island.

Sewer and water dues are charged based on rates approved by Council. These charges are assessed quarterly and are recognized when billings come due.

Financial instruments

Financial instruments are recorded at fair value when acquired or issued. In subsequent periods, financial assets with actively traded markets are reported at fair value, with any unrealized gains and losses reported in operating surplus. All other financial instruments are reported at amortized cost, and tested for impairment at each reporting date. Transaction costs on the acquisition, sale, or issue of financial instruments that are subsequently measured at amortized cost are shown as an adjustment to the carrying value of the related financial instrument.

Management estimates

The presentation of the consolidated financial statements in conformity with Canadian Accounting Standards for the Public Sector requires management to make estimates and assumptions that affect the reported amount of assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenditures during the reporting period. Actual results could differ from those reported. The following are areas in which management makes significant accounting estimates:

- The amounts recorded for amortization of tangible capital assets and intangible assets on the statement of operations is subject to management's assessment of the estimated useful life of the Municipality's tangible capital assets and intangible assets.
- The recognized amounts of potential claims and liabilities depend on management's assessment of future costs and the probability these events will occur.

3. ACCOUNTS RECEIVABLE

	<u>2023</u>	<u>2022</u>
Government funding receivable	\$ 782,202	\$ 521,191
Utility billings receivable	283,304	231,458
HST receivable	166,301	62,341
Other receivables	37,665	34,636
	<u>1,269,472</u>	<u>849,626</u>
Allowance for doubtful accounts	<u>(60,476)</u>	<u>(31,094)</u>
	<u>\$ 1,208,996</u>	<u>\$ 818,532</u>

TOWN OF CORNWALL
Notes to Consolidated Financial Statements
Year Ended March 31, 2023

4. LONG TERM INVESTMENTS

The Town of Cornwall holds a 2% portion of the Charlottetown Area Development Corporation (CADC). Condensed financial information for CADC for the years ended March 31, 2023 and 2022 are as follows:

	<u>2023</u>	<u>2022</u>
<u>Consolidated Statement of Financial Position</u>		
Assets		
Current assets	\$ 4,732,388	\$ 8,126,322
Property inventory	2,392,744	2,573,292
Mortgages receivable	232,671	217,499
Property and equipment	32,948	30,478
Investment properties	73,972,800	69,207,373
	<u>\$ 81,363,551</u>	<u>\$ 80,154,964</u>
Liabilities		
Current liabilities	\$ 10,388,415	\$ 16,581,932
Long term debt	18,440,225	12,132,914
Deferred revenues	40,164,228	40,147,368
	<u>68,992,868</u>	<u>68,862,214</u>
Shareholder's equity		
Capital stock	2,500	2,500
Contributed surplus	4,526,706	4,526,706
Retained earnings	7,841,447	6,763,544
	<u>12,370,653</u>	<u>11,292,750</u>
Total liabilities and shareholders' equity	<u>\$ 81,363,551</u>	<u>\$ 80,154,964</u>

Consolidated Statement of Comprehensive Income

Revenues		
Operating income	\$ 1,702,916	\$ 1,345,044
Management fee	147,236	130,887
Interest	127,612	223,877
Miscellaneous	28,133	8,547
	<u>2,005,897</u>	<u>1,708,355</u>
Expenses	<u>927,994</u>	<u>978,181</u>
Net earnings for the year	1,077,903	730,174
Retained earnings - beginning of year	6,763,544	6,033,370
Retained earnings - end of year	<u>\$ 7,841,447</u>	<u>\$ 6,763,544</u>
<u>Investment</u>		
Investment - beginning of year	\$ 126,413	\$ -
Purchase of shares	-	111,810
Share of net income (2%)	21,559	14,603
Investment - end of year	<u>\$ 147,972</u>	<u>\$ 126,413</u>

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TOWN OF CORNWALL
Notes to Consolidated Financial Statements
Year Ended March 31, 2023

4. LONG TERM INVESTMENTS (continued)

Key Activities and Commitments:

Demand loans of \$7,131,601 (2022 - \$11,976,067) are due on demand, interest at prime minus 0.1% and bankers' acceptance rate plus 0.75%. Interest paid monthly.

Long term debt and the demand loans are secured by general security agreement representing a first charge on all assets, continuing collateral mortgages representing a first charge on all real property known as Harbourside Complex and an undertaking not to encumber or mortgage the property at 119 Euston Street, assignment of mortgage receivable and fire insurance for Harbourside Complex and general assignment of rents representing a first charge on rent on the Harbourside Complex.

The Province of Prince Edward Island is the majority shareholder of the The Charlottetown Area Development Corporation and the City of Charlottetown, the Town of Stratford, and the Town of Cornwall are minority shareholders.

5. DEMAND LOANS

	<u>2023</u>	<u>2022</u>
<u>Water and Sewer Utility</u>		
National Bank - prime rate less 0.75%; interest due monthly; maximum limit of \$2,614,244; due on demand.	\$ 1,991,800	\$ 1,200,000
National Bank - prime rate less 0.75%; interest due monthly; maximum limit of \$550,000; renewable June 30, 2024.	-	150,000
	<u>\$ 1,991,800</u>	<u>\$ 1,350,000</u>

The Town also has an approved line of credit with National Bank of \$1,000,000, which is due for renewal on June 30, 2024, and was not utilized at the year end.

The Town must maintain the following financial ratios at all times:

- Working capital of at least \$1,000
- Working capital ratio of at least 1:1

TOWN OF CORNWALL
Notes to Consolidated Financial Statements
Year Ended March 31, 2023

6. DEFERRED REVENUE

	<u>2023</u>	<u>2022</u>
Canada Community Building Fund	\$ 442,888	\$ -
Parkland dedication reserve	17,815	17,815
Program funding	15,988	20,974
Subdivision parkland reserve	-	21,224
Province of PEI Safe Restart funding	-	73,299
Active Transportation	-	12,899
	<u>\$ 476,691</u>	<u>\$ 146,211</u>

Under the Canada Community Building Fund, the Town was allocated annual funding of \$1,149,905 for fiscal 2023. These funds, along with interest earned, must be used for eligible infrastructure and capacity building projects. Any funds received under this program, including interest earned, but not yet spent are recognized as deferred revenue at the end of the year.

During the year, the Town received Canada Community Building funding of \$1,149,905, earned interest of \$25,515 and incurred eligible expenditures of \$695,872.

7. RETIREMENT OBLIGATION

The Town accrues a retirement allowance for certain employees over the age of 45. The Town has calculated an estimated reserve based on one week retirement allowance for each employee anticipated to meet the criteria. The expense for the plan is equal to the change in estimated allowance for the year which was \$38,747 (2022 - \$12,826). The retirement obligation allowance is included in the restricted cash balance.

8. LONG TERM DEBT

	<u>2023</u>	<u>2022</u>
<u>Town of Cornwall</u>		
National Bank of Canada - 3.23%, repayable in monthly blended installments of \$8,534; unsecured. The loan renews on November 20, 2024.	\$ 849,417	\$ 923,081
National Bank of Canada - 2.65%, repayable in monthly blended installments of \$12,932; unsecured. The loan renews on July 20, 2026.	497,256	637,229
	<u>1,346,673</u>	<u>1,560,310</u>

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TOWN OF CORNWALL
Notes to Consolidated Financial Statements
Year Ended March 31, 2023

8. LONG TERM DEBT (continued)

	2023	2022
<u>Water and Sewer Utility</u>		
National Bank of Canada - 3%, repayable in monthly blended installments of \$13,178; unsecured. The loan renews on April 3, 2027.	607,452	745,103
National Bank of Canada - 2.4%, repayable in monthly blended installments of \$9,671; unsecured. The loan renews on July 26, 2025.	263,986	372,284
	<u>871,438</u>	<u>1,117,387</u>
	<u>\$ 2,218,111</u>	<u>\$ 2,677,697</u>

Principal repayments of long term debt are expected to be repaid over the next five years as follows:

2024	\$ 472,618
2025	1,180,718
2026	341,594
2027	209,557
2028	13,623

9. CONTINGENT LIABILITY

The Town commenced a legal action against a resident for reimbursement of expenses incurred in the cleanup of a property. The resident has filed a cross claim with no amount formally claimed as of yet. In the opinion of management and legal counsel, the likelihood of any liability to the Town is unknown at this time. Should any loss result from the resolution of these claims, such loss will be charged to operations in the year of resolution.

The Town has an outstanding insurance claim regarding property damage caused by a sewer backup. Total anticipated costs for the claim are \$40,000 and the Town's deductible for the claim is \$10,000. The Town is uncertain whether this will be a successful claim at this time.

10. COMMITMENTS

The Town has entered into an agreement with the Eastern School District for the period of October 19, 2005 to October 18, 2025 for the development of sports fields located on the Eastern School District lands, including responsibilities for each party. The agreement may be extended for a further ten years on the same terms if both parties agree to the extension. The Eastern School District agrees to lease to the Town the Eastern School District portion of the Sports Fields during the twenty year term and can be extended a further ten years. The Town shall have right of first refusal should the Eastern School District be desirous of selling its interest in the sports field.

The Town has entered into a lease agreement with DeLage Landen Financial Services for the lease of a photocopier and a contract agreement with the PEI Humane Society for animal control services. The minimum payments due over the next three years are as follows:

2024	\$ 14,484
2025	1,920
2026	480

TOWN OF CORNWALL
Notes to Consolidated Financial Statements
Year Ended March 31, 2023

11. INTANGIBLE ASSETS

	2023	2022
Intangible assets	\$ 285,593	\$ 280,269
Accumulated amortization	(202,296)	(172,901)
	<u>\$ 83,297</u>	<u>\$ 107,368</u>

12. GOVERNMENT TRANSFERS

	2023	2022
<u>Government transfers for operations</u>		
<u>Town</u>		
Provincial equalization grant	\$ 387,047	\$ 429,767
Fiona assistance	299,642	-
Municipal Capital Expenditure Grant	119,223	151,773
Provincial Safe Restart program	-	3,715
	<u>805,912</u>	<u>585,255</u>
<u>Water and Sewer Utility</u>		
Municipal Capital Expenditure Grant	<u>444,025</u>	<u>223,311</u>
	<u>1,249,937</u>	<u>808,566</u>

Government transfers for capital

Town

Active Transportation Funding	440,231	722,936
Canada Community Building Fund	200,247	467,324
Investing in Canada Infrastructure Program	164,713	6,810
Province of PEI Safe Restart Funding	73,299	92,087
	<u>878,490</u>	<u>1,289,157</u>

Water and Sewer Utility

Investing in Canada Infrastructure Program	2,534,841	952,103
Canada Community Building Fund	495,626	976,066
	<u>3,030,467</u>	<u>1,928,169</u>
	<u>3,908,957</u>	<u>3,217,326</u>
	<u>\$ 5,158,894</u>	<u>\$ 4,025,892</u>

13. ACCUMULATED SURPLUS

	2023	2022
Unrestricted surplus (deficit)	\$ (728,822)	\$ 89,777
Investment in tangible capital assets (Note 14)	<u>36,616,868</u>	<u>30,965,492</u>
	<u>\$ 35,888,046</u>	<u>\$ 31,055,269</u>

TOWN OF CORNWALL
Notes to Consolidated Financial Statements
Year Ended March 31, 2023

14. INVESTMENT IN TANGIBLE CAPITAL ASSETS

	<u>2023</u>	<u>2022</u>
Tangible capital assets (Schedules 1 and 2)	\$ 56,231,400	\$ 50,012,992
Accumulated amortization (Schedules 1 and 2)	(17,396,421)	(16,369,803)
Long term debt (Note 8)	(2,218,111)	(2,677,697)
	<u>\$ 36,616,868</u>	<u>\$ 30,965,492</u>

15. ADMINISTRATION FEE

During the year, the Town received a management fee totaling \$100,000 (2022 - \$100,000) from the Cornwall Water and Sewer Utility Corporation for payment of the administration costs incurred by the Town on behalf of the Utility. The transaction was in the ordinary course of business and was reflected at fair market value.

16. BUDGET FIGURES

A reconciliation of the 2023 fiscal operating budget prepared by Council to the budget figures disclosed in the consolidated financial statements is as follows:

	<u>2023</u>
Town of Cornwall and Utility budgeted surplus	\$ 123
Add: Government transfers for capital	6,453,608
Add: Capital funded from operations	712,088
	<u>\$ 7,165,819</u>

The budget figures provided on Statements 5 and 6 and Schedules 3 - 6 have not been audited or reviewed by the external auditor.

17. FINANCIAL INSTRUMENTS

The Town's financial instruments consist of cash, accounts receivable, accounts payable and accrued liabilities, retirement obligation, and long term debt.

The Town is exposed to various risks through its financial instruments and has a comprehensive risk management framework to monitor, evaluate and manage these risks. The following analysis provides information about the Town's risk exposure and concentration as of March 31, 2023.

(a) Credit risk

Credit risk arises from the potential that a counter party will fail to perform its obligations. The Town is exposed to credit risk from customers. In order to reduce its credit risk, the Town reviews a new customer's credit history before extending credit and conducts regular reviews of its existing customers' credit performance. An allowance for doubtful accounts is established based upon factors surrounding the credit risk of specific accounts, historical trends and other information. The Town has a significant number of customers which minimizes concentration of credit risk.

(continues)

TOWN OF CORNWALL
Notes to Consolidated Financial Statements
Year Ended March 31, 2023

17. FINANCIAL INSTRUMENTS (continued)

(b) Liquidity risk

Liquidity risk is the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities. The Town is exposed to this risk mainly in respect of its receipt of funds from its customers and other related sources, long-term debt, and accounts payable.

(c) Interest rate risk

Interest rate risk is the risk that the value of a financial instrument might be adversely affected by a change in the interest rates. In seeking to minimize the risks from interest rate fluctuations, the Town manages exposure through its normal operating and financing activities. The Town is exposed to interest rate risk primarily through its floating interest rate credit facilities.

18. SEGMENT DISCLOSURES

The Town is a diversified municipal unit that provides a wide range of services to its citizens. For management reporting purposes, the Town's operations and activities are organized and reported by segment. The major segments are as follows:

General Government

This segment is responsible for the overall financial and local government administration. Its tasks include, but are not limited to, daily accounting functions, preparation and coordination of annual consolidated audited financial statements, development of the annual budget, human resource functions for the entire Town, maintenance of bylaws and policies, oversight of public works, maintenance of Town facilities, and administration of Town services.

Parks and Recreation

This segment is responsible for promoting and offering recreation opportunities and activities for its residents. Its tasks include the operations and maintenance of the Town parks and recreational buildings.

Water and Sewer Utility

This segment is responsible for the maintenance and operations of water and sewer services provided to residents and other customers.

TOWN OF CORNWALL

**Schedules to Consolidated Financial Statements
Tangible Capital Assets
Year Ended March 31, 2023**

(Schedule 1)

	Cost beginning of year	Additions	Disposals and write downs	Cost end of year	Accum amort beginning of year	Amort in the year	Disposals and write downs	Accum amort end of year	Net book value
Town									
Land	\$ 572,238	\$ 10,000	\$ -	\$ 582,238	\$ -	\$ -	\$ -	\$ -	\$ 582,238
Town buildings	1,944,953	1,442	-	1,946,395	1,165,200	38,913	-	1,204,113	742,282
Public works buildings	482,769	30,509	-	513,278	248,649	9,746	-	258,395	254,883
Recreation buildings	3,633,432	8,647	-	3,642,079	1,748,506	71,895	-	1,820,401	1,821,678
Sidewalks	2,464,181	-	-	2,464,181	1,714,552	54,317	-	1,768,869	695,312
Trails, parks and gardens	2,469,795	709,854	-	3,179,649	199,577	89,991	-	289,568	2,890,081
Pool	123,391	-	-	123,391	123,391	-	-	123,391	-
Sportfields	4,908,194	-	-	4,908,194	3,554,737	158,686	-	3,713,423	1,194,771
Transit bus	549,347	-	-	549,347	408,223	54,935	-	463,158	86,189
Public works equipment	160,315	28,584	-	188,899	141,008	5,603	-	146,611	42,288
Recreation equipment	348,627	9,712	(5,431)	352,908	263,869	8,913	(5,431)	267,351	85,557
Town equipment	321,858	479,647	-	801,505	263,178	47,423	-	310,601	490,904
Public works vehicles and trailers	64,643	-	-	64,643	64,643	-	-	64,643	-
Recreations vehicles and trailers	250,376	33,786	(37,389)	246,773	216,439	7,634	(37,389)	186,684	60,089
Planning vehicles	17,027	-	-	17,027	1,216	2,433	-	3,649	13,378
	\$ 18,311,146	\$ 1,312,181	\$ (42,820)	\$ 19,580,507	\$ 10,113,188	\$ 550,489	\$ (42,820)	\$ 10,620,857	\$ 8,959,650

(continues)

Notes 1 to 18 are an integral part of these consolidated financial statements

TOWN OF CORNWALL

Schedules to Consolidated Financial Statements

Tangible Capital Assets

Year Ended March 31, 2023

(Schedule 1)

	Cost beginning of year	Additions	Disposals and write downs	Cost end of year	Accum amort beginning of year	Amort in the year	Disposals and write downs	Accum amort end of year	Net book value
Sewer									
Land	\$ 764,043	\$ -	\$ -	\$ 764,043	\$ -	\$ -	\$ -	\$ -	\$ 764,043
Sewer system	16,524,686	1,676,901	-	18,201,587	3,378,200	237,911	-	3,616,111	14,585,476
Water system	13,454,684	3,255,048	-	16,709,732	2,485,386	201,113	-	2,686,499	14,023,233
Buildings	4,011	-	-	4,011	1,163	80	-	1,243	2,768
Meters	34,359	13,911	-	48,270	5,337	1,523	-	6,860	41,410
SCADA	333,354	3,187	-	336,541	19,381	16,747	-	36,128	300,413
Equipment	118,406	-	-	118,406	92,500	2,879	-	95,379	23,027
Vehicles and trailers	175,021	-	-	175,021	130,891	7,252	-	138,143	36,878
Office equipment	293,282	-	-	293,282	143,757	51,445	-	195,202	98,080
	<u>\$ 31,701,846</u>	<u>\$ 4,949,047</u>	<u>\$ -</u>	<u>\$ 36,650,893</u>	<u>\$ 6,256,615</u>	<u>\$ 518,950</u>	<u>\$ -</u>	<u>\$ 6,775,565</u>	<u>\$ 29,875,328</u>
Total	<u>\$ 50,012,992</u>	<u>\$ 6,261,227</u>	<u>\$ (42,820)</u>	<u>\$ 56,231,400</u>	<u>\$ 16,369,803</u>	<u>\$ 1,069,437</u>	<u>\$ (42,820)</u>	<u>\$ 17,396,421</u>	<u>\$ 38,834,979</u>

Notes 1 to 18 are an integral part of these consolidated financial statements

TOWN OF CORNWALL

**Schedules to Consolidated Financial Statements
Tangible Capital Assets
Year Ended March 31, 2022**

(Schedule 2)

	Cost beginning of year	Additions	Disposals and write downs	Cost end of year	Accum amort beginning of year	Amort in the year	Disposals and write downs	Accum amort end of year	Net book value
Town									
Land	\$ 572,238	\$ -	\$ -	\$ 572,238	\$ -	\$ -	\$ -	\$ -	\$ 572,238
Town buildings	1,929,547	15,406	-	1,944,953	1,126,455	38,745	-	1,165,200	779,753
Public works buildings	369,095	113,674	-	482,769	240,346	8,303	-	248,649	234,120
Recreation buildings	3,607,389	26,043	-	3,633,432	1,676,958	71,548	-	1,748,506	1,884,926
Sidewalks	2,464,181	-	-	2,464,181	1,660,235	54,317	-	1,714,552	749,629
Trails, parks, and gardens	1,102,886	1,366,909	-	2,469,795	144,609	54,968	-	199,577	2,270,218
Pool	123,391	-	-	123,391	123,391	-	-	123,391	-
Sportsfields	4,886,621	21,573	-	4,908,194	3,396,050	158,687	-	3,554,737	1,353,457
Transit bus	538,698	10,649	-	549,347	353,821	54,402	-	408,223	141,124
Public works equipment	158,087	2,228	-	160,315	136,946	4,062	-	141,008	19,307
Recreation equipment	305,635	42,992	-	348,627	255,988	7,881	-	263,869	84,758
Town equipment	285,211	36,647	-	321,858	245,755	17,423	-	263,178	58,680
Public works vehicles and trailers	64,643	-	-	64,643	64,643	-	-	64,643	-
Recreation vehicles and trailers	213,829	36,547	-	250,376	213,829	2,610	-	216,439	33,937
Planning vehicles	-	17,027	-	17,027	-	1,216	-	1,216	15,811
	\$ 16,621,451	\$ 1,689,695	\$ -	\$ 18,311,146	\$ 9,639,026	\$ 474,162	\$ -	\$ 10,113,188	\$ 8,197,958

(continues)

Notes 1 to 18 are an integral part of these consolidated financial statements

TOWN OF CORNWALL

Schedules to Consolidated Financial Statements

Tangible Capital Assets

Year Ended March 31, 2022

(Schedule 2)

	Cost beginning of year	Additions	Disposals and write downs	Cost end of year	Accum amort beginning of year	Amort in the year	Disposals and write downs	Accum amort end of year	Net book value
Water & Sewer									
Land	\$ 764,043	\$ -	\$ -	\$ 764,043	\$ -	\$ -	\$ -	\$ -	\$ 764,043
Sewer system	15,473,034	1,051,652	-	16,524,686	3,164,044	214,156	-	3,378,200	13,146,486
Water system	12,073,284	1,381,400	-	13,454,684	2,315,183	170,203	-	2,485,386	10,969,298
Buildings	4,011	-	-	4,011	1,083	80	-	1,163	2,848
Meters	29,261	5,098	-	34,359	4,194	1,143	-	5,337	29,022
SCADA	333,354	-	-	333,354	2,713	16,668	-	19,381	313,973
Equipment	118,406	-	-	118,406	89,622	2,878	-	92,500	25,906
Vehicles and trailers	129,750	45,271	-	175,021	126,872	4,019	-	130,891	44,130
Office equipment	293,282	-	-	293,282	92,033	51,724	-	143,757	149,525
	\$ 29,218,425	\$ 2,483,421	\$ -	\$ 31,701,846	\$ 5,795,744	\$ 460,871	\$ -	\$ 6,256,615	\$ 25,445,231
Total	\$ 45,839,876	\$ 4,173,117	\$ -	\$ 50,012,992	\$ 15,434,769	\$ 935,033	\$ -	\$ 16,369,803	\$ 33,643,189

Notes 1 to 18 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Statement of Operations - Town
Year Ended March 31, 2023

(Schedule 3)

	Budget 2023	Actual 2023	Actual 2022
Revenues			
Municipal property tax	\$ 3,223,859	\$ 3,519,865	\$ 3,031,259
Government transfers for operations (Note 12)	673,035	805,912	585,255
Building permits and subdivision fees	75,000	101,432	86,230
Administration fee (Note 15)	100,000	100,000	100,000
Fines	55,000	52,528	62,028
Income from government business enterprise	-	21,558	14,603
Interest	5,000	21,540	7,913
Contributions from developers	-	21,224	128,523
Facility rentals	15,872	19,449	17,478
Other	4,500	12,785	13,960
	<u>4,152,266</u>	<u>4,676,293</u>	<u>4,047,249</u>
Expenditures			
Administration (Schedule 4)	698,934	636,276	577,254
Planning (Schedule 4)	280,415	276,589	207,254
Professional Services (Schedule 4)	96,240	417,609	92,366
Public Works (Schedule 4)	437,092	532,702	550,821
Town Facilities (Schedule 4)	119,855	130,273	120,459
Town Services (Schedule 4)	1,346,228	1,497,677	1,370,906
	<u>2,978,764</u>	<u>3,491,126</u>	<u>2,919,060</u>
Operating surplus	<u>1,173,502</u>	<u>1,185,167</u>	<u>1,128,189</u>
Other revenues			
Government transfers for capital (Note 12)	2,572,918	878,490	1,289,157
Gain on disposal of tangible capital assets	-	7,425	-
	<u>2,572,918</u>	<u>885,915</u>	<u>1,289,157</u>
Annual surplus	<u>\$ 3,746,420</u>	<u>\$ 2,071,082</u>	<u>\$ 2,417,346</u>

Notes 1 - 18 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Schedule of Expenditures - Town
Year Ended March 31, 2023

(Schedule 4)

	Budget 2023	Actual 2023	Actual 2022
Administration			
Advertising, printing and subscriptions	\$ 4,000	\$ 6,404	\$ 1,003
Amortization of intangible assets	-	25,562	21,372
Amortization of tangible capital assets	41,183	27,286	17,423
Bad debts (recovery)	-	(4,674)	6,094
Communities 13	11,000	10,618	10,452
Communities 13 capital projects	16,415	16,415	16,415
Computers	9,500	-	635
Council honoraria	45,922	50,565	36,993
Debit machine charges	5,000	5,134	4,484
Donations	21,500	21,752	21,500
Election	34,000	29,432	25,262
FCM annual meeting	6,175	8,333	1,340
Insurance	60,864	70,384	55,331
Interest on long term debt	46,933	43,891	50,706
Meetings and events	6,500	8,752	4,923
Miscellaneous	15,000	11,609	9,052
Office supplies and postage	14,500	12,277	13,893
Salaries and benefits	313,392	253,166	235,476
Telephone	38,800	35,674	40,756
Training	7,000	2,470	3,410
Travel	1,250	1,226	734
	698,934	636,276	577,254
Planning			
Affordable housing	5,000	19,596	5,826
Amortization of tangible capital assets	-	2,432	1,216
Annual conference and membership	4,500	300	280
Emergency measures plan	1,500	-	484
GIS	3,500	1,355	3,736
Professional fees	-	22,484	-
Salaries and benefits	256,315	222,499	191,359
Tools and equipment	600	3,335	324
Training and development	5,000	2,925	1,238
Travel	1,000	-	26
Vehicle	3,000	1,663	2,765
	280,415	276,589	207,254
Professional Services			
Accounting fees and audit	13,500	21,132	14,807
Bylaw enforcement	6,240	16,618	6,240
Engagement	5,000	1,064	105
Engineering fees	5,600	4,545	3,783
Federation of Canadian Municipalities	1,900	403	1,754
Federation of PEI Municipalities	11,000	10,662	10,898
Fiona	-	299,642	-
Information technology	25,000	31,919	28,536
Legal fees	23,000	25,389	15,897
Miscellaneous	5,000	6,235	10,346
	96,240	417,609	92,366

(continues)

Notes 1 - 18 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Schedule of Expenditures - Town
Year Ended March 31, 2023

(Schedule 4)

	Budget 2023	Actual 2023	Actual 2022
Public Works			
Amortization of tangible capital assets	57,164	144,737	121,085
Grass cutting	22,702	12,892	21,600
Property taxes	1,510	2,397	1,438
Public works maintenance and repairs	25,000	24,393	22,693
Salaries and benefits	218,703	304,932	247,592
Sidewalk maintenance	86,513	14,359	110,867
Small tools and supplies	10,000	10,343	10,788
Tractor	6,500	7,483	6,560
Trucks and snowblower	9,000	11,166	8,198
	<u>437,092</u>	<u>532,702</u>	<u>550,821</u>
Town Facilities			
Amortization of tangible capital assets	35,355	38,913	38,745
Dry storage building	-	601	-
Maintenance building	24,500	29,724	25,279
Town Hall	60,000	61,035	56,435
	<u>119,855</u>	<u>130,273</u>	<u>120,459</u>
Town Services			
Animal control	12,312	12,312	12,072
Charging stations	1,500	1,652	1,041
Fire dues	386,620	411,713	365,441
Policing services	719,796	797,626	760,312
Street lights	95,000	98,211	96,941
Transit	131,000	176,163	135,099
	<u>1,346,228</u>	<u>1,497,677</u>	<u>1,370,906</u>
	<u>\$ 2,978,764</u>	<u>\$ 3,491,126</u>	<u>\$ 2,919,060</u>

Notes 1 - 18 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Statement of Operations - Parks and Recreation (Schedule 5)
Year Ended March 31, 2023

	Budget 2023	Actual 2023	Actual 2022
Revenues			
Programs	\$ 244,000	\$ 324,084	\$ 267,061
Government transfers for operations			
Wage subsidies	117,000	146,683	123,480
Program support	2,500	6,394	687
Recreation leadership	5,000	5,000	5,000
Sportfield rentals	56,870	61,376	63,910
Special events	9,500	21,246	10,265
	<u>434,870</u>	<u>564,783</u>	<u>470,403</u>
Expenditures			
Amortization of tangible capital assets	121,060	337,119	295,694
APM Centre rental	2,800	2,470	1,875
Ballfield	2,000	1,858	1,681
Civic Centre	57,000	56,712	68,042
Events	32,500	26,189	9,265
Motor vehicles	19,600	16,749	17,199
Parks and park equipment maintenance	50,500	41,484	43,553
Pool	7,800	8,165	7,706
Programs	41,500	43,571	33,514
Salaries and benefits	835,983	716,174	714,392
Terry Fox Clubhouse	34,000	36,816	34,791
Terry Fox Sports Fields	15,000	10,850	12,404
Training and development	3,700	1,231	477
Travel	3,000	594	2,352
	<u>1,226,443</u>	<u>1,299,982</u>	<u>1,242,945</u>
Operating deficit	<u>\$ (791,573)</u>	<u>\$ (735,199)</u>	<u>\$ (772,542)</u>

Notes 1 - 18 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Statement of Operations - Water and Sewer Utility (Schedule 6)
Year Ended March 31, 2023

	Budget 2023	Actual 2023	Actual 2022
Revenues			
Sewer levies	\$ 767,373	\$ 810,304	\$ 733,201
Water levies	741,231	750,649	704,401
Government transfers for operations (Note 12)	302,592	444,025	223,311
Interest	20,000	60,541	26,097
Frontage rates	11,000	9,937	10,657
Other	-	2,649	2,577
Inspection fees	1,750	410	2,230
	<u>1,843,946</u>	<u>2,078,515</u>	<u>1,702,474</u>
Expenditures			
Administration fee	100,000	100,000	100,000
Amortization of intangible assets	-	3,832	3,465
Amortization of tangible capital assets	380,178	518,950	460,870
Bad debts	-	34,056	25,000
Council honoraria	23,217	23,932	-
Debit machine charges	5,500	5,679	5,466
Equipment	5,000	2,637	3,601
Insurance	44,343	53,571	40,311
Interest on long term debt	67,655	28,810	33,595
Maintenance - lagoon	15,000	9,729	11,550
Maintenance - sewer	35,000	40,214	33,728
Maintenance - water	50,000	37,768	41,150
Memberships	1,500	1,436	1,419
Motor vehicle	30,000	25,068	24,231
Office	15,500	19,449	10,943
Power - sewer	96,900	95,604	98,916
Power - water	75,732	71,324	59,123
Professional fees	37,000	27,090	17,094
Property tax	4,010	3,890	3,819
Salaries and benefits	497,329	476,556	489,381
Telephone	5,600	6,452	5,936
Training and development	5,000	5,215	2,313
Uniforms	1,900	1,749	2,106
Water conservation program	1,000	331	335
Water test and inspections	16,300	18,746	16,585
	<u>1,513,664</u>	<u>1,612,088</u>	<u>1,490,937</u>
Operating surplus	<u>330,282</u>	<u>466,427</u>	<u>211,537</u>
Other revenues			
Government transfers for capital (Note 12)	3,880,690	3,030,467	1,928,169
Annual surplus	<u>\$ 4,210,972</u>	<u>\$ 3,496,894</u>	<u>\$ 2,139,706</u>

Notes 1 - 18 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Schedules to Consolidated Financial Statements (Schedule 7)
Segment Disclosures
Year Ended March 31, 2023

	General Government	Water and Sewer Utility	Parks and Recreation	Elimination	Consolidated 2023
Revenues					
Property taxes	\$ 3,519,865	\$ -	\$ -	\$ -	\$ 3,519,865
Government transfers for operations	805,912	444,025	158,077	-	1,408,014
Contributions from developers	21,224	-	-	-	21,224
Administration fee	100,000	-	-	(100,000)	-
Building permits and fees	101,432	-	-	-	101,432
Fines	52,528	-	-	-	52,528
Other	75,332	73,537	82,622	-	231,491
Water and sewer levies	-	1,560,953	-	(7,510)	1,553,443
Programs	-	-	324,084	-	324,084
	<u>4,676,293</u>	<u>2,078,515</u>	<u>564,783</u>	<u>(107,510)</u>	<u>7,212,081</u>
Expenditures					
Salaries and benefits	780,597	476,556	716,174	-	1,973,327
Goods and services	2,427,708	583,940	246,689	(107,510)	3,150,827
Amortization	238,930	522,782	337,119	-	1,098,831
Interest	43,891	28,810	-	-	72,701
	<u>3,491,126</u>	<u>1,612,088</u>	<u>1,299,982</u>	<u>(107,510)</u>	<u>6,295,686</u>
Operating surplus (deficit)	<u>1,185,167</u>	<u>466,427</u>	<u>(735,199)</u>	<u>-</u>	<u>916,395</u>
Government transfers for capital	878,490	3,030,467	-	-	3,908,957
Gain on disposal of tangible capital assets	7,425	-	-	-	7,425
Annual surplus (deficit)	<u>\$ 2,071,082</u>	<u>\$ 3,496,894</u>	<u>\$ (735,199)</u>	<u>\$ -</u>	<u>\$ 4,832,777</u>

Notes 1 to 19 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Schedules to Consolidated Financial Statements (Schedule 8)
Segment Disclosures
Year Ended March 31, 2022

	General Government	Water and Sewer Utility	Parks and Recreation	Elimination	Consolidated 2022
Revenues					
Property taxes	\$ 3,031,259	\$ -	\$ -	\$ -	\$ 3,031,259
Government transfers for operations	585,255	223,311	129,167	-	937,733
Administration fee	100,000	-	-	(100,000)	-
Building permits and fees	86,230	-	-	-	86,230
Fines	62,028	-	-	-	62,028
Other	53,954	41,561	74,175	-	169,690
Contributions from developers	128,523	-	-	-	128,523
Water and sewer levies	-	1,437,602	-	(7,855)	1,429,747
Programs	-	-	267,061	-	267,061
	<u>4,047,249</u>	<u>1,702,474</u>	<u>470,403</u>	<u>(107,855)</u>	<u>6,112,271</u>
Expenditures					
Salaries and benefits	674,427	489,381	714,392	-	1,878,200
Goods and services	1,994,086	503,626	232,859	(107,855)	2,622,716
Amortization	199,841	464,335	295,694	-	959,870
Interest	50,706	33,595	-	-	84,301
	<u>2,919,060</u>	<u>1,490,937</u>	<u>1,242,945</u>	<u>(107,855)</u>	<u>5,545,087</u>
Operating surplus (deficit)	<u>1,128,189</u>	<u>211,537</u>	<u>(772,542)</u>	<u>-</u>	<u>567,184</u>
Government transfers for capital	1,289,157	1,928,169	-	-	3,217,326
Annual surplus (deficit)	<u>\$ 2,417,346</u>	<u>\$ 2,139,706</u>	<u>\$ (772,542)</u>	<u>\$ -</u>	<u>\$ 3,784,510</u>

Notes 1 to 19 are an integral part of these consolidated financial statements